

Setting a pace for innovation

In order to manage the process of making innovations happen, it is important to understand the different ways in which change can be categorized. In this field it is not a case of “one size fits all”—you need to tailor your approach. One way is to look at how much “newness” is involved—from incremental small steps to radical leaps forward.

TIP

ENCOURAGE HIGH INVOLVEMENT

Everyone is creative—make sure you are tapping into this rich resource by asking employees for their ideas and suggestions to improve what your organization is trying to achieve.

Innovating in stages

The results of innovation can be dramatic—from the first-ever automobile to landing a man on the Moon. But many of these innovations come about not through dramatic changes but by doing the same things a little bit better. Incremental innovation—innovating in small steps—is about improving products and services and the processes we use to make them, making things better in quality and cheaper. Incremental innovation may not be glamorous and instantly noticeable, but it is by far the most common kind of innovation.

For example, most things you might buy in the supermarket are not “new to the world” products, but improvements and extensions of existing products. In service industries such as hotels and catering, innovation is about “doing what we do better”—improving the level and quality of service around a basic formula. In manufacturing, most innovation is about improving the way processes work—fixing bugs in the system, improving efficiency, quality, safety, and, importantly, reducing cost. This is not a one-time act, but the result of incremental improvement.

CASE STUDY

Incremental innovation

The French company, Bic introduced the Crystal ballpoint pen in 1951, and it is still going strong today. It's gone through all kinds of incremental improvement—in the ink formulation, in the ball point, in the plastic used, in the ways in which it is manufactured—but it is still the same old design. And it still does very well—sales are around 14 million pens per day. In 2002, Bic sold its 100 billionth pen—enough to cover 40 times the distance from Earth to the Moon, lined up end to end.